However, if we fail to do so, then the masses of the country's striving poor would get too old before they become rich.

The budget-makers faced another imperative. The Economic Survey of 2023-24 estimates that of the current Indian work force of 565 million, as many as 254 million, or 45 per cent, are employed in agriculture, which contributes only 18.2 per cent to our Gross Domestic Product (GDP). The services, manufacturing and construction sectors, on the other hand, which absorb nearly 55 per cent of the labour, generate about 82 per cent of the GDP. So, there is a dire need to shift labour away from agriculture to more productive sectors. As Manish Sabharwal, vice chairman, Teamlease, a leading human capital firm, puts it, "India's challenge is not unemployment, which is said to be a low 4.9 per cent, but employed poverty—the poor cannot afford to be unemployed. Welfarism doesn't help in employed poverty. We have always viewed employment from the bird's eye view of economists rather than the worm's eye view of the daily life of employees. That has to change."

Meanwhile, another time-bomb has been ticking silently. The Survey indicates that India has to generate nearly 8 million additional jobs annually up to 2030 in the non-farming sector to reap the benefits of the demographic dividend and avert strife and unrest among the populace. While the demand for skilled labour has been shooting up, the Survey indicates that over 50 per cent of the graduates passing out of Indian colleges were unemployable because they lacked the skills to meet the current requirements of industry. Sitharaman, in her media interviews, talks of how infrastructure giant L&T has been unable to fill 45,000 vacancies because of the lack of people with suitable skill sets. Noted skill development expert Subroto Bagchi, co-founder of Mindtree, also points to the entrenched 'caste system' that puts Indian Institute of Technology (IIT) graduates at the top of the heap and those that pass out of vocational courses at Industrial Training Institutes (ITI) at the bottom. Coincidentally, he says, "the IITs and the ITIs were started in the 1950s. But while the IITs marched ahead, the ITIs went backwards. The ITIs had a bar code of failure stamped on their foreheads. Employers have developed a mindset that they should pay slum wages to those who come out of ITIs. In Singapore, on the other hand, ITI equivalents earn a starting salary of over Rs 20 lakh per annum. This is untenable."

To work out solutions, Somanathan and his colleagues in the finance ministry talked to all stakeholders, including industry associations. Everyone agreed that the best way India could generate jobs was through higher than average economic growth, and so one of the tenets of Budget 2024 was to ensure macro-economic stability and fiscal prudence to build investor confidence. So, the fiscal deficit target was fixed at 4.9 per cent of the GDP, much lower than the current 5.6 per cent. With private capital expenditure still lagging, the Modi government continued with its massive dose of public funds for infrastructure and public housing. Both these sectors are certain to boost employment.


HARDIK CHHABRA

"The government schemes will speed up economic transformation by enhancing the virtuous cycle on investment, employment and consumption. It will also improve the quality of jobs and incomes"

— SANJIV PURI
CMD, ITC Ltd; CII president

THE SURROUND SOUND

As part of the effort to boost growth and employment, concessions were made in the budget to the MSME sector where the bulk of the jobs are generated. The finance minister introduced a credit guarantee scheme for MSMEs in the manufacturing sector for facilitating term loans for purchase of machinery and equipment without collateral or third-party guarantee. She also introduced a new mechanism for facilitating continuation of bank credit to MSMEs during their stress period. Under this provision,